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AIA TIMES

EMPOWERING THE MINDS THAT LEAD



The Minds Behind the Money Trail

What It Really Takes to Think Like an Investigator in 2026

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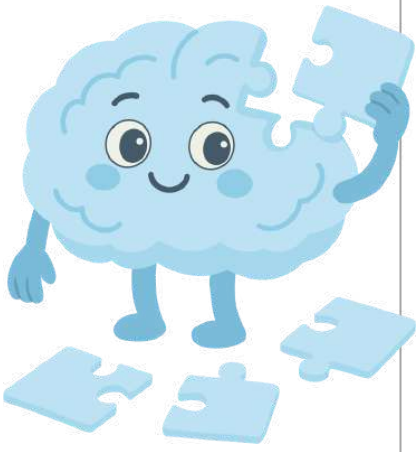
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ACADEMY OF INTERNAL AUDIT

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Editor Incharge

FROM THE DESK OF THE EDITOR

MONEY doesn't move randomly. It moves with intent, and someone always leaves a trail. What makes financial crime difficult to detect isn't just its scale - it's the thinking behind it. This edition of AIA Times focuses on exactly that - the minds that follow the money, question the patterns, and make sense of complexity.

Our theme, ***"The Minds Behind the Money Trails,"*** explores how professionals go beyond routine checks to uncover what truly matters. In our cover story, ***Decoding the Mindset Behind Every Financial Crime,*** we explore how financial crimes are not just executed - but engineered. What drives them, how they evolve, and what it truly takes to see beyond the surface.

Through ***The Money Trail Brief and Industry Insights***, we examine what's changing in the world of financial crime and what it demands from organizations today. ***Trend Radar highlights*** where the industry is heading - capturing both the opportunities and the pressure points shaping the future of this space.

This issue also takes you closer to the ground reality. In ***Money Trail Files***, we break down real-world inspired cases - how a trail begins, how it unfolds, and what ultimately exposes it.

Alongside this, Inside the ***Investigator's Toolkit*** and ***Think Like an Investigator*** focus on the practical side of the profession - the tools, skills, and thought processes that are becoming essential.

Beyond frameworks and analysis, this edition brings in perspectives from those actively navigating this space. In ***Expert notes*** from industry, we have ***Tarun Kher,*** who shares insights on ***Truth behind the transactions: Insights from Inside the System,*** offering a closer look at how professionals approach complexity in real scenarios. Meanwhile, ***Tapashankar***, as a risk and audit consultant, and ***Jignesh Mehta,*** Head of Audit, reflect on ***Why do financial failures still happen? and Decode the next decade of fraud,*** bringing in a fresh viewpoint shaped by learning and real-world exposure.

At its core, this edition is built on a simple belief: ***In a world driven by data, it is still the mind behind the analysis that makes the difference.***

AIA Times invites you to think deeper and see beyond the obvious - what you notice is often what others miss.

- Aditi Chauhan

MESSAGE FROM THE CEO

The Mind Behind the Mission

The industry is producing professionals. It is not producing enough thinkers. The expectations from audit and financial crime professionals are no longer what they used to be. It's not enough to understand frameworks or follow checklists. The real challenge today lies in applying judgment - connecting signals, questioning patterns, and making decisions in situations where clarity is often missing. **This is an observation about what happens after the learning stops, or rather, what happens when professionals enter the real world and realise that no framework fully prepares you for the moment you are sitting across from incomplete data, conflicting accounts, and a decision that cannot wait.** Across organisations, one gap continues to stand out. There is no shortage of qualified individuals, but there is a clear shortage of industry-ready professionals - people who can step in, think independently, and add value from day one. This gap is not about knowledge alone; it is about mindset, exposure, and the ability to translate concepts into real-world action. This shift is already visible across the industry. Organisations today are looking for professionals who can interpret complexity, challenge assumptions, and make decisions when the answers are not obvious.

At AIA, this is the gap we are focused on bridging.

Our approach has always been simple - move beyond theoretical learning and bring professionals closer to how the industry actually operates. Whether it is audit, financial crime, or compliance, the goal is to build a practical and investigative mindset. We empower professionals who can interpret complexity, challenge assumptions, and make decisions when the answers are not obvious. Because in real-world scenarios demands those who uncover it. This edition of **AIA Times, "The Minds Behind the Money Trails,"** is an extension of that vision. It is designed to give you insights that help you understand how professionals approach problems, how investigations unfold, and how the industry is evolving in real terms in the upcoming years. Following the money is not just about tracing transactions. It is about understanding intent. It is about recognising what does not fit, even when everything appears correct. And most importantly, it is about thinking beyond what is presented.

Every case study, expert perspective, and insight in this edition has been curated with one question in mind: Does this make the reader think differently? Not just about the topic, but about how they approach their work, their decisions, and their role in an industry where the stakes are only getting higher.

The boardroom needs someone who walks in knowing what questions to ask - and what to do when the answers don't add up.

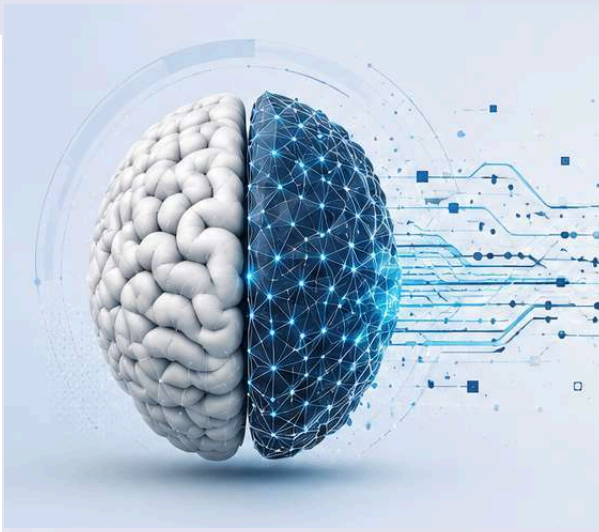


Through the insights, cases, and perspectives in this issue, the aim is only to shift how you approach problems in this space.

Financial crime is becoming more sophisticated by the quarter. And organisations are becoming increasingly selective about who they trust with complex, high-stakes decisions. The professionals who will matter in this space five years from now are the ones who developed the habit of thinking critically - early, consistently, and deliberately and that habit requires the right exposure, the right challenges, and an honest willingness to be uncomfortable with easy answers. So the challenge I want to leave with every reader is this: do not read this magazine passively. Engage with it. Question the cases. Stress-test the frameworks. Ask yourself not just what happened in each scenario, but what you would have done differently and why.

Because in the end, systems can only go so far. It is the mind behind the analysis that makes the difference.

Decoding the Mindset Behind Every Financial Crime



The biggest risk in financial crime isn't what is hidden. It's what looks normal.

Most financial crimes don't break the system. They quietly work within it. And that's exactly why they're getting harder to catch.

Fraudsters today are strategic. They understand how systems work, and more importantly, how people expect those systems to behave. Instead of forcing their way through controls, they design transactions that fit perfectly within them. The result? Fraud that doesn't look like fraud.

According to ACFE's Report, May 2026, organisations lose approx 5% of their annual revenue to fraud, across 2,402 cases studied globally, with a median loss of $104,000 per case & total documented losses exceeding $3.4 billion. The threat is not coming from outside the building. It lives inside processes, access rights, and inside the trusted organisations extend without question.

Procurement fraud alone now ranks among the top three most disruptive economic crimes globally, sitting just behind cybercrime and corruption.

Source: Silenteight

Insight for block 71% expect financial crime to rise in 2025. Yet only 1 in 4 organisations feel their compliance programme is truly effective - ***Kroll Financial Crime Report 2025***

In 2026, this is not the era of simple scams or easily flagged transactions. Today's financial crime is built on smaller, repeated movements, multiple entities instead of single accounts, patterns that mimic legitimate business activity. **Everything looks clean,** and that's exactly the problem.

Because the challenge is no longer about spotting what is wrong. It's about questioning what appears completely right.



Hidden Layers of Frauds

If financial crime earlier was about hiding money, today it is about making it look like it was never hidden in the first place. This is what **“hidden layers”** actually mean.

They are carefully structured movements of money embedded within legitimate-looking activity, designed to avoid suspicion at every stage. The objective is no longer to disappear - but to blend in. Instead of direct transfers, funds are broken into smaller amounts, routed through multiple accounts or entities, and spread across transactions that individually raise no concern. The complexity only becomes visible when these movements are viewed together. And that’s where the gap lies.

In many corporate environments, these layers are not external but embedded within internal processes. Most reviews happen at a transaction level. Rarely at a pattern level. As long as each step looks acceptable, the larger structure often goes unquestioned. That’s exactly what modern fraud depends on.

> *The numbers don't lie. But people do, and that's exactly where the investigator comes in.*

Mindset Behind Fraud

Fraudsters start with understanding the system. What gets questioned, and more importantly, what doesn’t. Their objective is to work within it - predictably and quietly.

This is why most modern fraud schemes are not aggressive. They are patient. Instead of large, attention-grabbing movements, they rely on smaller, repeated actions that gradually build into something significant. **A key part of this thinking is anticipation.**

Fraudsters observe how auditors or systems behave. They understand what documentation is typically accepted. In many cases, they even replicate legitimate business patterns to avoid standing out. Money, in such cases, is not simply hidden. It is repositioned - through vendors, layered entities, or multiple accounts - until tracing its origin becomes difficult without deeper analysis.

Why Detection is Getting Harder

Good investigators don't wait for a smoke. They look for a smoking gun.

In practice, decoding financial crime is more about reading a story told across hundreds of them. Experienced investigators are trained to spot what doesn't fit - accounts that receive funds in round numbers, businesses that report consistent revenue regardless of economic conditions, customers whose transaction behaviour shifts sharply without any obvious life event. Network analysis is equally powerful. **Mapping relationships between accounts,** entities, and transactions often reveals the architecture of a scheme that no single data point could expose.

It's the difference between examining one piece of a puzzle and stepping back to see the full picture. **But technology** only takes you so far. The most effective investigators bring something no algorithm can replicate - contextual judgement. Understanding why a particular business structure exists in a specific jurisdiction. Recognising when a compliance explanation is technically accurate but operationally implausible. Knowing which questions to ask when everything is on paper looks clean.

The best fraud examiners think like investigators building a case.





Thinking Ahead of a Fraudster

The most uncomfortable truth in financial crime prevention is - ***"the professionals who catch fraudsters most effectively are the ones who understand how they think."***

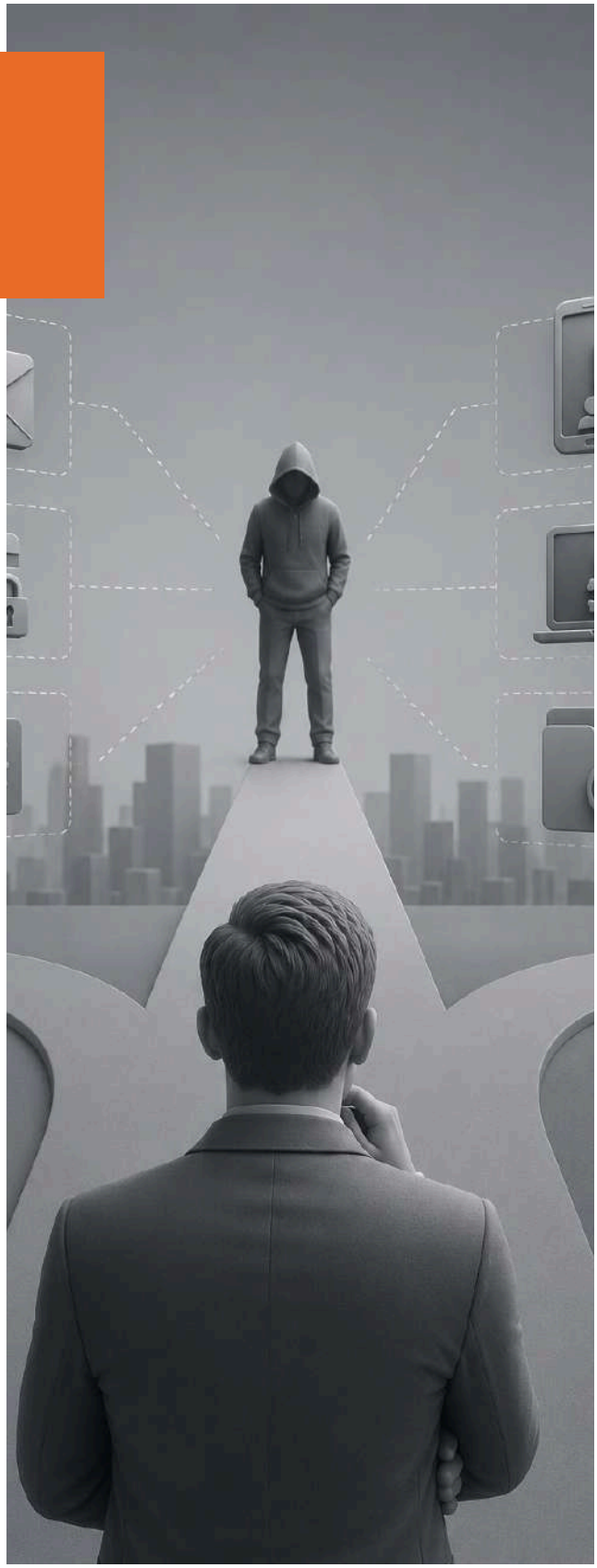
This isn't about **moral alignment -** it's about intellectual empathy. Knowing what a fraudster is trying to achieve, what risks they're willing to accept.

It's also why red team exercises, scenario-based training, and case study analysis are becoming standard practice in leading audit and compliance functions. **Theoretical knowledge** of fraud typologies is useful. But walking through a real scheme - understanding the decision points, the cover stories, the exit strategies - builds a different kind of readiness.

The **fraudster's greatest advantage** is that most organisations are designed to operate in good faith. Processes are built assuming honest intent. Controls are structured around known risks. Thinking like a fraudster means questioning those assumptions - not cynically, but deliberately.

The professionals who will matter most in this space are the ones who understand human behaviour, who can read patterns across noise, and who approach every process with the quiet question: where is the gap?

Decoding financial crime begins with a mindset. And that mindset, like any professional skill, can be built, trained, and sharpened.




THE
MONEY
TRAIL
BRIEF



What's Moving in the World of Financial Crime right now

Here's what every audit and compliance professional needs to know right now:

1.India's Fraud Problem Is No Longer a Footnote

For years, financial crime in India was discussed in cautious, qualified terms. Not anymore. India's fraud losses tripled in 2025 to ₹36,014 crore - a figure that demands more than policy attention. It demands trained professionals who can detect, investigate, and prevent financial crime before it compounds.
Source: Fincrimejobs

Compliance frameworks have now expanded to cover high-risk non-financial sectors, including jewellery, real estate, and luxury goods dealers, sectors that have historically operated with minimal scrutiny. The message from regulators is clear: the perimeter of compliance is widening, and organisations that haven't prepared will find themselves exposed.
Source: Glassdoor

2. AI Is Now on Both Sides of the Table

The most uncomfortable development in financial crime right now isn't the scale, it's the sophistication. Deepfake voices are authorising wire transfers. Synthetic identities are clearing KYC checks. AI-generated documents are passing verification systems that weren't built to question them. The same tools that compliance teams use to detect fraud are being used to commit it. And right now, the criminals adopting these tools are moving faster than many institutions are responding. What makes this particularly dangerous is the speed of adaptation. A fraud typology that takes institutions months to identify, document, and build controls around, a criminal network can replicate, refine, and deploy a new version in weeks. For compliance teams still operating on annual review cycles and legacy rule sets, that gap is where the losses live.

"Compliance is no longer just about meeting obligations - it has become a test of resilience, judgement, and foresight."

3. India Tightens the Beneficial Ownership Net

One of the most significant regulatory shifts in India's AML landscape in 2025 has largely gone underdiscussed. SEBI tightened its AML and CFT guidelines by lowering the beneficial ownership threshold to 10% - forcing companies to update how they identify and report ultimate beneficial owners fundamentally.
Source: Sanction Scanner, AML in India - 2025 Update

This matters beyond just compliance teams. Internal auditors, risk professionals, and finance leaders need to understand that the definition of who controls a company, and therefore who carries the compliance obligation, has materially changed. Organisations that haven't revisited their UBO mapping are already behind.

4. The Opportunity Hidden Inside the Problem

Here is the observation that rarely makes it into the conversation about financial crime: every regulation tightened, and every fine issued creates demand. For frameworks, for technology, and most critically, for people who genuinely understand how financial crime operates.

Asia Pacific is now the fastest-growing region in the global financial crime compliance market. India sits at the centre of that growth, both as a market facing intensifying risk and as a destination for offshored compliance operations from global banks. The professionals who will define this space over the next decade are being shaped right now. The question is whether they're paying attention.

"Financial crime is not just changing in scale - it is changing in speed, sophistication, and consequence. Staying informed is no longer optional. It is the baseline."

In Demand Roles. Right Now.

The demand for professionals in audit, AML, and financial crime investigation has quietly become one of the strongest hiring trends in the financial services sector. Organisations are treating it as a strategic function. And they're hiring accordingly.

Roles are curated from LinkedIn based on relevance to CFE, CIA, CISA and CAMS career tracks.

LinkedIn Jobs
[Internal Auditor]
Company Name: EY
Location: Hybrid - Noida / Gurugram
Experience: 2–6 Years

LinkedIn Jobs
[KYC AML Screening Manager]
Company Name: MUFG
Location: Bengaluru
Experience: 3–7 Years

LinkedIn Jobs
[Fraud Investigation Manager]
Company Name: Godrej
Location: Mumbai
Experience: 4–6 Years

LinkedIn Jobs
[Investigations Specialist]
Company Name: Barclays
Location: Pune
Experience: 3–6 Years

LinkedIn Jobs
[Internal Audit]
Company Name: Goldman Sachs
Location: Bengaluru
Experience: 2–6 Years

LinkedIn Jobs
[Senior Associate]
Company Name: WNS
Location: Gurugram
Experience: 1–3 Years

Note: *Professionals holding global certifications like CFE, CIA, CISA or CAMS report faster hiring cycles, stronger salary negotiations, and clearer career progression- across both corporate and consulting tracks.*

What the Data Reveals

Insights shaping the industry's direction

1. India Under the Lens

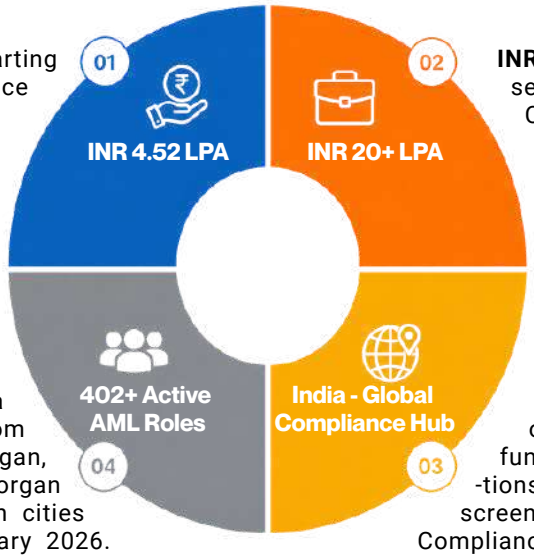
The financial crime story unfolding across India

- ₹22,495 Crore lost to cybercrime across India in 2025 alone, a 24% rise over the previous year, driven by investment scams, AI-powered fraud, and digital arrest schemes - Ministry of Home Affairs, India, February 2026
- 2.3 Million cybercrime complaints filed on India's National Cyber Crime Reporting Portal in 2026 - up from just 4.52 lakh in 2021, a fivefold rise in five years - Government of India, Rajya Sabha Data / IndiaSpend 2025
- Less than 1% of total cyber fraud losses are actually returned to victims in India — despite ₹36,448 crore reported since NCRP inception, only ₹60.52 crore has been refunded - NCRP Data via IndiaSpend, December 2025

QUIET BOOM IN THE INDIAN MARKET

Why India is becoming the world's compliance talent capital

INR 4.52 LPA — Average starting salary for an AML Compliance Analyst in India in 2025 rising sharply with certifications & experience — Glassdoor India 2025.



INR 20+ LPA — Salary benchmark for senior AML managers and Heads of Compliance in India — with CAMS certification significantly acceler -ating this trajectory — VSkills / FinCrime Jobs India 2025.

402+ Active AML Roles — Listed on Glassdoor India alone as of early 2026 — from Goldman Sachs , J P Morgan, HSBC, EY GDS, Citi, and Morgan Stanley hiring across Indian cities — Glassdoor India February 2026.

India = Global Compliance Hub — Global banks are increasingly offshoring operational compliance functions — including fraud investiga -tions, transaction monitoring, and KYC screening— to India — Barclay Simpson Compliance Recruitment Report 2025.

2. The Talent Gap

The growing gap between demand and available expertise

- 30% Projected Growth - In compliance and AML professionals demand over the next 5 years - U.S. Bureau of Labour Statistics (Compliance Officers)
- 65% Hiring Difficulty - Financial institutions are struggling to find qualified AML talent - PwC Global Economic Crime Survey
- 3x More Likely to be Shortlisted - CFE/CAMS certified professionals vs non-certified peers - ACFE Compensation Guide / ACAMS Career Survey

3. The Tech Behind the Trail

What AI is changing about how financial crime is fought and committed

- 90% Of financial crime professionals report a measurable increase in AI-driven attacks in 2025-26 — as criminal networks adopt the same tools institutions use to fight them - Nasdaq Verafin Financial Crime Report 2026
- $14.3 Billion Value of cyber-enabled scams globally in 2025, growing at an annualised rate of 19.6% over two years, driven almost entirely by AI-powered fraud operations - Nasdaq Verafin Global Financial Crime Report 2026
- 20–30% Cost savings reported by banks that integrate AI across their AML value chain, along with significantly faster alert resolution times - McKinsey & Company, AML AI Integration Report

Inside the Investigator's Toolkit

The tools and skills defining the next generation of financial crime professionals.
Today, the gap between a good investigator and a great one often comes down to one thing - what they use and what they know.

01 - Forensic Data Analytics Platforms

IDEA Data Analysis, ACL Analytics, Arbutus Analyser. Analyses large volumes of financial and operational data to detect anomalies, fictitious vendors, and expense manipulation.

02 - Whistleblower & Tip Management Platforms

EthicsPoint, Navex Global, WhistleB. Receives, logs, and tracks anonymous reports of suspected misconduct.

03 - Expense & Procurement Fraud Detection Systems

AppZen, Oversight Systems, SAP Concur Audit. Specifically monitors employee expense claims, purchase orders, and vendor payments for red flags.

04 - Behavioural & Communication Analytics Tools

Relativity, Nuix, Microsoft Purview Communication Compliance. Analyses internal communication patterns, emails, messages, and call logs for language and behavioural signals.

05 - Fraud Risk Scoring Engines

FICO Falcon, SAS Fraud Management, ThreatMetrix. Assigns dynamic risk scores to customers and transactions using behavioural and demographic data.

06 - Sanctions & Watchlist Screening Tools

Refinitiv World-Check, Dow Jones Risk & Compliance, ComplyAdvantage. Automatically screens customers and counterparties against global sanctions lists and adverse media.

07 - Digital Forensics & E-Discovery Platforms

EnCase Forensic, FTK (Forensic Toolkit), Cellebrite. Extracts and preserves digital evidence from devices, emails, and systems.

08 - Blockchain & Crypto Tracing Tools

Chainalysis Reactor, Elliptic Navigator, CipherTrace. Traces fund flows across cryptocurrency networks and wallets..

In-Demand Skills

For early aspirants →

Build These First. These three skills give students a real edge:

Disclaimer: AIA Times does not endorse, promote, or recommend any specific platform, vendor, or product. The tools referred to in this section are mentioned solely for educational and knowledge purposes.

1. **Analytical Thinking** - The ability to question data, spot inconsistencies, & connect dots across information.

2. **Report Writing** - Findings mean nothing if they can't be communicated clearly.

3. **Understanding Regulatory Frameworks** - Working knowledge of AML laws, FATF guidelines, and compliance obligations signals seriousness.

FOR WORKING PROFESSIONALS →

Stay Ahead with the skills which separating capable professionals from indispensable ones:

1. **Behavioural Pattern Recognition -** Training your eye to read behavioural shifts across data is a skill built through exposure and deliberate practice

2. **Fraud Risk Assessment -** Professionals who can assess where risk lives within a process are in high demand across both internal audit and compliance functions

3. **Digital Investigation Literacy -** Understanding of how to trace activity across blockchain environments and digital platforms is essential for senior investigators

4. **Cross-functional Communication -** Bridging the gap between investigation teams and senior leadership is a rare and valued capability.

5. **Regulatory Intelligence -** Professionals who actively track evolving FATF recommendations, jurisdiction-specific AML updates, and emerging compliance requirements bring strategic value.

6. **Scenario-Based Judgement -** When the data is ambiguous, experienced professionals rely on structured judgement. This is built through case exposure, simulation exercises, and continuous learning.



THE TOSHIBA FRAUD STORY: WHEN CORPORATE PRESSURE BECOMES CORPORATE FRAUD

Case Overview



For decades, Toshiba was regarded as a symbol of corporate reliability. Known for its engineering excellence and disciplined operations, the company enjoyed strong investor confidence and global credibility. That reputation suffered a major blow in 2015 when an independent investigation revealed that Toshiba had overstated its profits by nearly ***USD 1.2 billion*** over several years. What made the scandal particularly significant was not the complexity of the fraud, but the culture behind it. The **Toshiba case remains** one of the strongest examples of how organizational pressure and weak challenge culture can gradually distort financial reporting without obvious signs of traditional fraud. For auditors and compliance professionals, **the case highlights** a critical reality: financial manipulation often develops slowly through normalized compromises rather than deliberate large-scale deception from the outset.

Inside Toshiba's Accounting Crisis

The fraud at Toshiba primarily involved the overstatement of profits across multiple business divisions over several years. **Senior leadership reportedly** imposed unrealistic profit expectations on operational teams,



creating intense pressure to meet financial targets regardless of market conditions. Within that environment, division heads and finance teams began making accounting adjustments designed to close performance gaps. One major technique involved delayed loss recognition. Underperforming projects were prevented from recording losses immediately, allowing divisions to maintain stronger short-term profitability. **Another method involved** inflated revenue recognition on long-term projects. Accounting estimates relating to project completion percentages were manipulated to accelerate revenue reporting and improve financial results. Because these practices relied heavily on management judgment and accounting estimates, the manipulation often appeared technically explainable in isolation. **However, across multiple reporting** periods and business units, these adjustments collectively created a materially distorted financial picture. The fraud was not driven by a single transaction or department. It became embedded across operational structures, making detection increasingly difficult over time.

Control Failures

The **Toshiba scandal demonstrated** that fraud can persist even in organizations with formal governance structures and established internal controls. The primary failure was not the complete absence of systems, but the inability of those systems to operate independently from management pressure.

A key weakness involved the organization's challenge culture. Employees and managers reportedly understood the pressure associated with meeting financial expectations, but escalation and dissent were limited within the company's hierarchical environment. As a result, accounting judgments and aggressive reporting assumptions faced insufficient internal challenges. Another major failure involved oversight of judgment-based accounting areas. **Since the fraud relied** largely on estimates, project assumptions, and timing adjustments rather than fictitious transactions, routine controls were less effective in identifying manipulation. Repeated financial adjustments across divisions also failed to trigger deeper scrutiny. In many cases, temporary reporting corrections became normalized over time rather than being treated as indicators of broader control weaknesses. **The case highlights** an important audit principle: controls become ineffective when organizational culture discourages transparency and prioritizes outcomes over reporting integrity.

Red Flags Missed

Several warning indicators were visible before the fraud became public. Toshiba consistently achieved financial targets despite challenging business conditions and market volatility. Unusually stable performance across reporting periods should have triggered increased skepticism and deeper analytical review. Frequent accounting adjustments and project estimate revisions also appeared across multiple divisions. While individually explainable, the repeated nature of these adjustments suggested a broader pattern of earnings management risk.



Another significant red flag was the organization's performance-driven culture. Excessive pressure from leadership, particularly in environments where missing targets is implicitly discouraged, significantly increases the risk of financial manipulation. Perhaps the most overlooked warning sign was the absence of internal challenge. **Employees reportedly recognized the pressure** surrounding financial reporting expectations, yet concerns were not escalated effectively. In highly hierarchical organizations, cultural reluctance to question senior management can become a major control vulnerability. The Toshiba case demonstrated that silence itself can become a fraud enabler.

Key Lessons for Auditors

The **Toshiba fraud offers important lessons for auditors, investigators, and AML professionals.** First, fraud risk must be evaluated beyond technical controls. Even well-designed systems can fail when organizational culture discourages independent challenge and transparency. Second, pressure from leadership should be treated as a measurable fraud risk indicator. Unrealistic targets, excessive performance expectations, and consistent pressure to deliver results can gradually influence reporting behavior across divisions. Third, auditors should apply enhanced scrutiny to judgment-based accounting areas **such as project estimates, revenue recognition timing, and loss provisioning.** These areas provide opportunities for manipulation that may not appear through standard transactional testing. The case also reinforces the importance of behavioral and cultural assessment during audits. Patterns such as repeated last-minute adjustments, excessive consistency in results, or reluctance to escalate concerns often reveal deeper governance issues.

Most importantly, the Toshiba scandal demonstrates that fraud rarely begins with large-scale deception. It often begins with small compromises made under pressure—compromises that become normalized over time until manipulation becomes embedded within the organization itself.



Closing Insight

Toshiba did not fail because it lacked controls. It failed because those controls operated inside a culture where performance gradually became more important than transparency. That is what makes the Toshiba case particularly relevant for modern audit and compliance functions. The fraud was not hidden behind complexity. It was hidden behind normalization. For auditors and investigators, the message is clear: When organizations become excessively outcome-driven, the risk is no longer limited to operational failure—it extends directly to reporting integrity. Because in corporate fraud, the greatest risks are often not the actions people deliberately conceal, but the behaviors organizations slowly learn to accept.

Disclaimer: This case study is presented solely for educational purposes to learn from governance failures, audit gaps, and financial risk lessons drawn from the incident.



(From Investigator's Playbook)

The 5-Step Investigation Framework

Every financial crime leaves a trail. Not always obvious and clean. The 5-Step Investigation Framework is a process that helps investigators to access financial crime. Let's walk through it - step by step, using one case that will stay with us throughout.

Case in Focus: Meridian Manufacturing

Rajan, a senior accounts executive at Meridian Manufacturing, has been with the company for eleven years. Trusted. Reliable. Never misses a deadline. But a routine internal audit flags something small - three vendor payments made to a supplier called "FastTrack Supplies" totalling ₹47 lakhs over eight months. The vendor exists on paper. The invoices look clean. But no one in procurement seems to know who they are. This is where the investigation begins.

Step 1 - Define the Allegation

The Concept: Before touching a single document, a good investigator defines exactly what they are and aren't investigating. This sounds obvious - it rarely gets done properly.

Defining the allegation means answering three precise questions: ***What is the suspected wrongdoing? Who might be involved? What time period are we looking at?*** Without this boundary, investigations drift. Evidence gets collected without purpose. Interviews happen too early. And the actual fraud quietly stays hidden while the team chases noise.

Advanced Insight: The allegation also determines your legal framework. Is this a potential violation of the Companies Act? PMLA? An internal policy breach? Knowing this upfront shapes what evidence will actually be usable, and what won't hold up later.

Back to the Case: The allegation is defined clearly - suspected fraudulent vendor payments made without a legitimate business purpose, potentially involving internal personnel, between January and August of the current financial year. Scope is set. The investigation has a shape.

Step 2 - Plan the Investigation

Concept: Firstly, professional investigators plan a proper investigation: what evidence exists, where it lives, who controls access to it, and in what order it needs to be secured. Sequence matters enormously. If you interview the suspect before securing their email records, you've handed them time to delete. If you alert the finance team before freezing transaction logs, the trail goes cold.

Advanced insight: This step also involves parallel stream planning - running document review, digital forensics, and background checks simultaneously. Top investigation teams assign streams to different members and sync findings at defined checkpoints. This compresses timelines and prevents critical evidence from ageing.

Back to the Case: The team maps their evidence streams. Stream one: all payment records and approval trails linked to FastTrack Supplies. Stream two: vendor onboarding documents and who authorised them. Stream three: Rajan's email and system access logs - quietly secured before anyone is approached. Nothing is touched yet. Everything is mapped.

Step 3 - Gather and Preserve Evidence

Concept: This is where most people think the investigation starts. It's actually step three - and that discipline is what separates professional investigators from reactive ones.

Evidence gathering follows a strict principle: collect without contaminating. Every document retrieved must be logged with metadata - who accessed it, when, and from which system. Digital evidence, especially, must be handled using forensically sound methods.

A screenshot taken carelessly, a file opened on the wrong device, an email forwarded through a personal account, any of these can compromise the integrity of what you've gathered.

Advanced Insight: Build your evidence matrix as you collect - a running log that maps each piece of evidence to the allegation it supports, the witness it relates to, and the step in the fraud it helps establish. When your case goes to a disciplinary committee or regulatory authority, this matrix becomes your spine.

Back to the Case: The team pulls payment vouchers, bank confirmations, and system-generated approval logs. FastTrack Supplies' registration documents are retrieved from the vendor master. What they find is telling - the vendor was registered at a residential address, onboarded without a site visit, and all three invoices were approved exclusively by Rajan, bypassing the dual-authorisation control that applies to payments above ₹10 lakhs. The evidence matrix begins to fill.

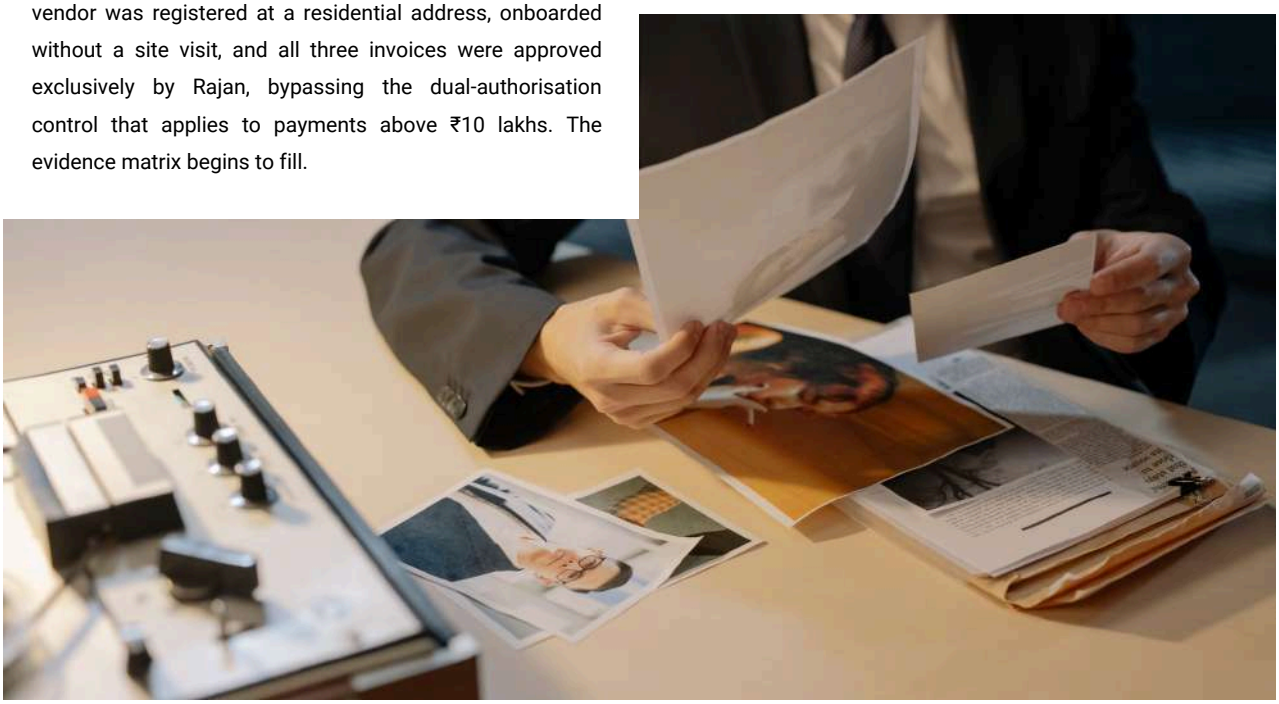
Step 4 - Analyse and Connect the Evidence

Concept: Gathered evidence is just raw material. Analysis is where the investigation becomes an argument.

This step involves three layers of analysis. First, transactional analysis - mapping the flow of money, identifying timing patterns, and flagging anomalies against policy. Second, relational analysis - who approved what, who communicated with whom, and whether any relationships exist that shouldn't. Third, behavioural analysis - does the pattern of activity suggest intent, concealment, or exploitation of a known control gap?

Advanced Insight: The most powerful analytical tool at this stage is the fraud triangle overlay - when its aligned around one person, the case becomes significantly more defensible. Investigators who skip this step often have evidence - but not a story.

Back to the Case: Cross-referencing Rajan's personal records, legally obtained, reveals that FastTrack Supplies shares a mobile number with Rajan's brother-in-law. The bank account receiving the ₹47 lakhs was opened six weeks before the first invoice was raised. The fraud triangle locks into place: financial pressure from a known personal loan, opportunity through unsupervised payment approvals, and a control environment that hadn't been tested in over two years.



Step 5 - Report, Conclude, and Recommend

Concept: An investigation that ends without a clear, well-structured report has not ended - it has stalled. The final step is where findings are converted into conclusions, and conclusions are converted into action.

A strong investigation report does four things: it states the allegation and scope, presents findings in a logical, evidence-backed sequence, arrives at a conclusion on whether the allegation is substantiated, and recommends specific remedial actions - both for the individual case and for the systemic control gaps that allowed it to happen.

Advanced Insight: The best investigators write their reports with two audiences in mind simultaneously - the disciplinary committee, which needs facts, and the board or senior leadership, which needs implications. Facts without context get filed. Facts with clear organisational implications drive change. Structuring your report with an executive summary, a detailed findings section, and a forward-looking recommendation layer serves both audiences without writing two documents.

Back to the Case: The report concludes that fraudulent vendor payments totalling ₹47 lakhs were made to a fictitious supplier with demonstrated links to Rajan. The allegation is substantiated. Recommendations include immediate suspension pending disciplinary proceedings, recovery action against identified accounts, mandatory dual-authorisation enforcement, and a full vendor master audit. The control gap, unsupervised approval authority for a single signatory, is flagged for immediate remediation across all business units.



NUMBERS DON'T LIE - BUT THEY DO REVEAL

BENFORD'S LAW

You don't always need a confession. Sometimes, the numbers confess themselves.

SO WHAT IS BENFORD'S LAW?

In 1938, a physicist named Frank Benford noticed something deeply strange. Across thousands of naturally occurring datasets - river lengths, population figures, stock prices, financial records - the number 1 appeared as the leading **digit almost 30% of the time**. The number **2 appeared around 17%.** By the time you reached 9, it showed up less than 5%. This wasn't a coincidence. It was a mathematical pattern that repeats across almost every naturally generated dataset in existence.

***In simple terms,* a naturally grown dataset, digit 1 leads 30%, 2 leads 17%, and all the way down to digit 9, it appears 4.6% of the time. The pattern is logarithmic, consistent, and remarkably predictable across industries, geographies, and time periods.**

Key Features and Characteristics of Benford's Law

Understanding what makes Benford's Law work, and what makes it not work, is what separates professionals who apply it correctly from those who draw wrong conclusions from it.

It Applies to Natural Numbers - Not Assigned Ones

Benford's Law only works on numbers that grow or occur naturally, not numbers that are assigned, defined, or constrained by human decision.



What does this mean practically? A naturally occurring number emerges from real-world activity without a fixed range. **Revenue figures grow** organically over time. Transaction amounts vary based on actual business activity. Population counts reflect real demographic movement. These are **natural numbers** - unpredictable, unbounded, and driven by real events. Assigned numbers, on the other hand, are defined by a rule or a system. Employee ID numbers, telephone numbers, zip codes, product serial numbers - these are created within a fixed structure. They don't follow Benford's Law because they were never meant to grow organically. **Applying Benford's Law** to assigned numbers is one of the most common mistakes investigators make, and it leads to false red flags that waste investigation time.

It Requires a Large Volume of Data

Benford's Law is a statistical phenomenon, which means it needs sufficient data to be meaningful. As a general rule, a dataset **needs at least 1,000 data points** for the pattern to emerge reliably. With smaller datasets, random variation can mimic deviation, and genuine deviation can look like normal variation.

This is a critical professional insight. If an auditor runs a Benford's Law test on 80 transactions and finds an anomaly, that anomaly may mean very little statistically. **But if the same test runs across 15,000** transactions and reveals a consistent deviation in a specific digit - that is a signal worth pursuing. Volume is necessary here.

It Works on Multi-Digit Data

Benford's Law applies specifically to the leading digit of multi-digit numbers - meaning numbers that have at least two or more digits. **Single-digit numbers like 1, 5, or 8 carry no** meaningful leading digit information and fall outside the scope of this analysis. More importantly, the law becomes progressively more powerful as the range of numbers in the dataset widens.



A dataset in which figures range **from ₹500 to ₹50,00,000** will yield a far more reliable Benford analysis than one in which all figures fall **between ₹9,000 and ₹12,000.** The wider the natural spread, the more clearly the pattern, and any deviation from it, reveals itself.

On Which Datasets Does Benford's Law work effectively?

Benford's Law works on data that grows naturally, figures shaped by real activity rather than human-defined rules. **In practice,** this means accounts payable records, vendor payments, revenue figures across time periods, general ledger journal entries, expense reimbursements, and declared income in tax filings all qualify as strong candidates. Stock prices and market data, naturally generated through trading activity, are historically one of the datasets Benford himself studied. On the other hand, datasets where Benford's Law does not apply **include ATM withdrawal** amounts constrained to fixed denominations, prices set by policy such as standard government fees, and any dataset where a human decision, rather than natural activity, determines the range.

In Which Type of Investigations Is It Used?

Benford's Law is actively used **across a wide range** of professional investigations, and its application is growing as more organisations build it into their



standard analytical procedures. **Forensic auditors use it** to screen vendor payment files and expense records for signs of manipulation. Tax authorities run it against declared income claims to detect fabricated figures. **In AML investigations,** it helps identify structuring patterns where transaction amounts appear deliberately engineered. External auditors apply it during risk assessment to test the integrity of journal entries, while internal audit teams deploy it in corporate fraud investigations involving fictitious vendors or manipulated reporting. In fact, courts in the **United States have accepted Benford analysis** as supporting evidence in fraud prosecutions, a measure of how seriously the professional world treats this tool. Knowing where a tool works is just as valuable as knowing how to use it, and in an investigation, it determines the quality of the conclusion.



On Which Organization Data It Applies?

Benford's Law delivers its strongest results in organisations where financial activity is high volume, naturally variable, and spans a wide numerical range. Large corporations with thousands of transactions across multiple business units, banks processing millions of customer entries, government procurement bodies, and mid-sized businesses with active vendor ecosystems are all prime candidates. The wider and more organic the data, the more clearly any deviation stands out. Where it loses reliability is in organisations with limited transaction history, narrowly priced product structures, or highly standardised payment amounts, environments where the natural variability Benford depends on simply doesn't exist. **For compliance** teams deciding where to invest analytical effort, understanding this boundary is a sign of professional maturity.

Benford's Law doesn't prove fraud. It points to where to look.

How Does This Expose Fraud?

When someone fabricates financial data, they think intuitively. Fake invoices tend to cluster around round numbers - **₹49,000, ₹98,500, ₹75,000.** Fictitious expenses get created just below approval thresholds - ₹9,800 appearing suspiciously often. Made-up figures distribute themselves too evenly across leading digits because the fraudster's brain tries to appear random and ends up being anything but. When an auditor runs a Benford's Law analysis on a dataset and **finds that the number 7** is appearing as a leading digit **18%** of the time instead of the expected **5.8%** - that's not normal variation. That's a red flag. That's the data telling you something is wrong before you've looked at a single invoice. **A single spike in one digit** is notable. But a consistent pattern of deviation, where multiple digits show anomalous frequencies across the same dataset, is far more telling. It suggests systematic manipulation rather than isolated error. And systematic manipulation points to intent.

Where Is It Actually Used?

Benford's Law isn't a theoretical curiosity. It is actively used by: Forensic auditors scan expense reports and vendor payment files for manipulation. Tax authorities, including the IRS, are screening filed returns for fabricated figures. Financial investigators analysing transaction records in fraud and AML cases.

External auditors use an analytical procedure during risk assessment. **In fact, courts in the United States** have accepted Benford's Law analysis as supporting evidence in financial fraud prosecutions. That is how seriously the professional world takes this tool.

The One Thing to Remember

Think of it as a smoke detector - **not a fire.** When the numbers deviate significantly from the expected distribution, it tells an investigator that something in this dataset deserves a much closer look. What they find when they look closer - that's where the real investigation begins. **Used correctly**, it is one of the fastest ways to prioritise where investigative attention should go in a large dataset. Used incorrectly, on the wrong data, with too few records, or **without understanding its limitations,** it produces noise rather than a signal. The professional who understands both its power and its boundaries is the one who uses it most effectively. For a student just entering audit or compliance, understanding **Benford's Law** gives you something most early-career professionals don't have: a mathematical instinct for when numbers are lying. And in this field, that instinct is worth more than you think.

EXPERT STORIES

MINDS IN ACTION



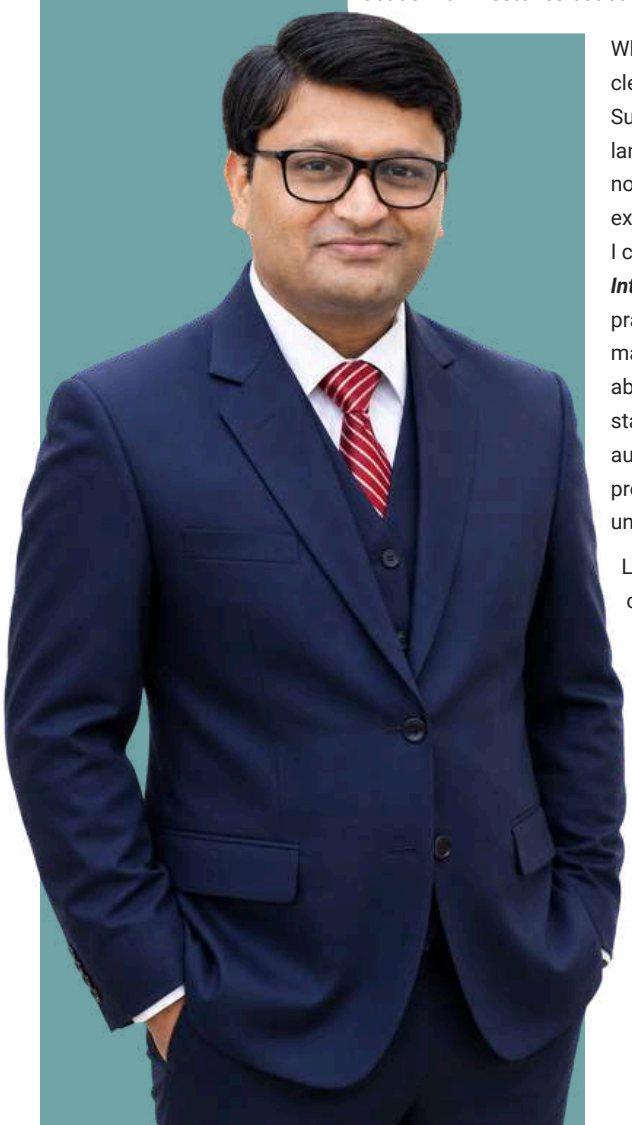
Dheeraj Prakash Sharma , CFE, CAMS
Senior Manager, Canara Bank

SUCCESS STORY

My journey in banking is a story of awakening, discipline, and purpose. With over 13 years of experience across diverse banking functions, I began my career with a limited understanding of the larger role financial institutions play in shaping a nation's economy. Like many professionals, I initially saw banking as a system of processes and targets. However, with time and exposure, my perspective evolved, revealing the critical importance of compliance, ethics, and financial vigilance.

Those years of ground-level experience across different banking functions were not just building my resume, they were quietly building my conscience. Every suspicious transaction I encountered, every compliance gap I observed, and every process I questioned pushed me toward a deeper realisation: that banking is not just about moving money. It is about protecting the integrity of the system that an entire economy depends on.

This realization became a turning point. Determined to deepen my expertise, I pursued global certifications in Anti-Money Laundering and Fraud Examination. Demonstrating exceptional focus and commitment, ***I successfully cleared the CAMS certification in just 60 days and the CFE certification within 90 days,*** both on my first attempt. These achievements were not merely academic milestones but catalysts that transformed my thinking.



What made these certifications meaningful was not the speed at which I cleared them; it was what they unlocked in how I approached my work. Suddenly, patterns I had seen for years began to make sense in a new language. Transactions I would have once flagged out of instinct, I could now analyse with structured frameworks. The gap between experience and expertise finally closed, and the difference was immediately visible in how I contributed at work. Through this journey, institutions like the ***Academy of Internal Audit (AIA)*** played a vital role by providing structured guidance, practical insights, and a strong foundation in compliance and risk management. Their methodology was never about clearing exams. It was about building professionals who could think independently, apply global standards to real situations, and carry that knowledge into boardrooms, audit committees, and investigation desks where it actually matters. Their professional approach significantly contributed to sharpening my understanding of global standards.

Looking back, I understand now that the most important shift in my career was not a promotion or a certification. It was the moment I stopped seeing compliance as a function and started seeing it as a responsibility. That shift changed not just how I worked, but why I worked.

Today, my views on AML/CFT and fraud prevention are the backbone of a nation's financial integrity. In a country where millions of transactions flow through banking systems every single day, the professionals who understand this responsibility are quietly protecting an economy. My journey reflects a clear message:

*"**When knowledge meets purpose, it has the power to protect economies and create meaningful impact.**"*

The Mind Behind This Piece.

If Systems Are Strong, Why Do Financial Failures Still Happen?



Tapashankar is a Governance, Risk & Audit Consultant. The insights he shares in this piece are drawn from his own real world exposure. A **proud achiever of the AIA, Tapashankar** represents exactly the kind of thinking we set out to build.

Financial systems are often described as strong because they are built with regulations, oversight mechanisms, and safeguards designed to maintain stability. Yet, financial failures still occur, and this apparent contradiction highlights the limits of systemic strength when confronted with human behaviour, external shocks, and structural complexity.

Firstly, no system can fully eliminate risk. Financial markets are driven by human decisions, which are influenced by emotions such as greed and fear. Even with strict regulations, speculative bubbles can form when investors collectively chase profits, as seen in the dot-com crash or the housing market collapse of 2008. Strong systems may slow down the spread of risk, but they cannot prevent irrational behaviour.

Secondly, complexity and interconnectedness make modern finance vulnerable. Banks, corporations, and governments are linked through global trade and investment. A disruption in one sector or country can quickly ripple across borders. For example, the COVID-19 pandemic was not a financial event, but it triggered massive economic instability worldwide, showing how external shocks can overwhelm even robust systems.

Thirdly, innovation often outpaces regulation. Financial instruments such as derivatives or cryptocurrencies evolve faster than oversight frameworks. This creates blind spots where risks accumulate unnoticed until they erupt into crises. Strong systems are reactive, but they struggle to anticipate every new form of risk.

Additionally, failures can stem from mismanagement or fraud. Systems rely on transparency and accountability, but when companies manipulate data or conceal losses, regulators may only discover problems after collapse. The Enron scandal is a classic case where systemic safeguards were bypassed through deceit.

In my view, the paradox lies in the fact that strong systems reduce the frequency of small failures but can inadvertently encourage risk-taking. When institutions believe they are "too big to fail," they may act recklessly, assuming that safeguards will protect them.
This moral hazard makes rare failures more dramatic and damaging.

In conclusion, financial failures persist not because systems are weak, but because strength cannot eliminate uncertainty, human behaviour, or external shocks. Systems provide resilience, but they are not infallible. The lesson is that vigilance, adaptability, and humility are essential complements to structural strength in finance.

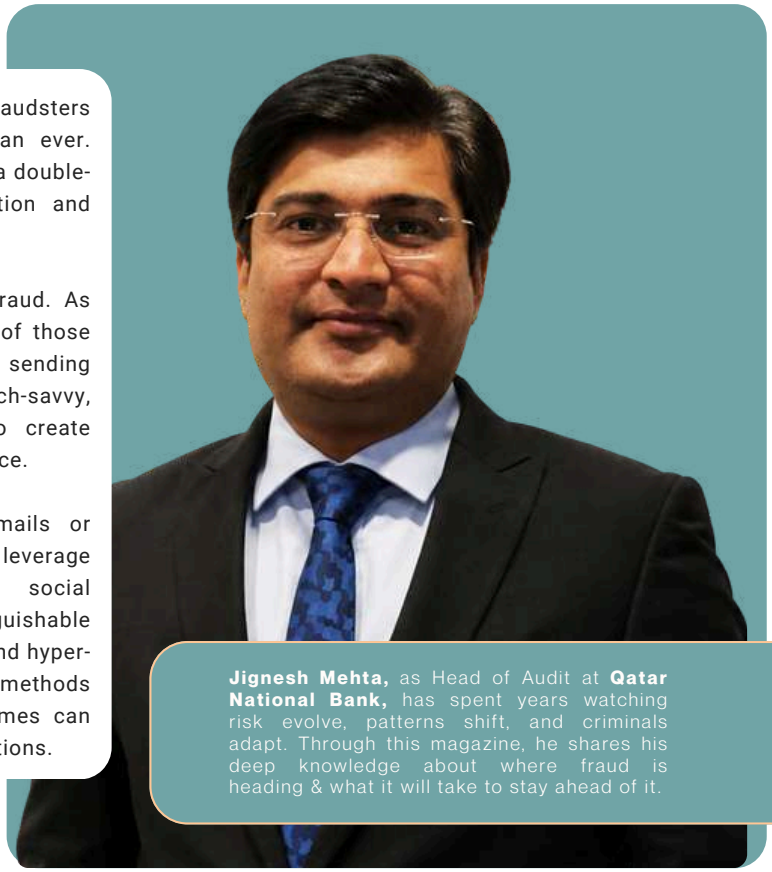
If we stick to the basics above in a disciplined way, we can definitely reduce such failures.

The Next Decade of Fraud – Smarter Criminals, Smarter Defenses

As we **step into the next decade**, the battle between fraudsters and defenders is set to become more complex than ever. Technology, while a powerful tool for progress, is also a double-edged sword - empowering both legitimate innovation and criminal ingenuity.

The coming decade will redefine the landscape of fraud. As technology advances, so too does the sophistication of those who exploit it. Criminals are no longer lone actors sending poorly written phishing emails - they are organized, tech-savvy, and increasingly leveraging artificial intelligence to create scams that are almost impossible to detect at first glance.

Fraud is no longer limited to crude phishing emails or counterfeit documents. Tomorrow's criminals will leverage artificial intelligence, deepfakes, and advanced social engineering to create scams that are nearly indistinguishable from reality. Synthetic identities, AI-generated voices, and hyper-personalized attacks will make traditional detection methods obsolete. The speed and scale at which these schemes can operate will challenge even the most prepared organizations.



Jignesh Mehta, as Head of Audit at **Qatar National Bank,** has spent years watching risk evolve, patterns shift, and criminals adapt. Through this magazine, he shares his deep knowledge about where fraud is heading & what it will take to stay ahead of it.

Emerging threats also include AI-generated deepfakes capable of mimicking voices and faces with uncanny accuracy, synthetic identities built from stolen and fabricated data, and hyper-personalized social engineering attacks that exploit individual behaviors and preferences. These tactics will allow fraudsters to bypass traditional verification methods, too.

In response, defenses must evolve just as rapidly as possible. The future of fraud prevention lies in adaptive, AI-driven systems capable of learning from every attempted breach.

Real-time behavioral analytics, biometric verification, and blockchain-based transaction tracking will become key tools in fighting fraud. Strong collaboration between governments, financial institutions, and technology providers will also be essential for sharing threat intelligence globally.

Also, to combat evolving frauds, defenses must be equally smart & adaptive. The future of fraud prevention lies in AI-powered systems that instantly detect unusual activity, learn from threats, and ensure greater transparency & security.

Yet, technology alone won't be enough. Human awareness will remain a vital line of defense. Continuous education, simulated attack training, and a culture of vigilance will help individuals recognize and resist even the most sophisticated scams.

The next decade will not be a one-sided race - it will be a constant tug-of-war between smarter criminals and smarter defenses. The winners will be those who stay agile, anticipate threats, and never underestimate the creativity of those on the other side.

Expert Talks

Truth behind the transactions:

Insights from Inside the System

Tarun Kher , CA and Partner at BDO India's Risk Advisory Services division, brings over 23 years of experience in risk consulting across audit, compliance, and financial controls. His expertise spans risk-based internal audits, SOX and IFC frameworks, and business process improvement - with deep specialisation in the BFSI and Fintech sectors. He has led complex engagements across India, US, UK, Dubai, and other European geographies, working with large multinational clients on KYC reviews, transaction monitoring, internal controls, and regulatory compliance. In this conversation, Tarun shares the insights that only come from two decades of working inside the system.

1. As AI reshapes financial systems, do you see it strengthening transparency or making financial crime harder to detect?

AI has given investigators incredible power to spot patterns across millions of transactions. But the same technology is helping criminals move faster by adopting discreet techniques. What I worry about most, though, is alert fatigue; when the system flags so much that investigators stop looking beyond the obvious. Technology can process data; however it cannot replace the human intelligence required to read between the lines, sense something is off, and ask the uncomfortable questions. While AI is a powerful tool, professional discernment remains the strongest differentiator.

2. What are the most dangerous blind spots organizations ignore when it comes to fraud ?

The biggest blind spot, I believe trusting the system too much. Organisations invest in technology and then assume it is catching everything. No system is smarter than the person who built it or the fraudster who has been studying it. The second one is missing apparent dots. Something looks slightly off, it gets noted, and then life moves on. But those small dots are often the beginning of something much bigger. Another major blind spot is unquestioned trust , particularly in long - standing employees , familiar vendors , and relationships perceived as low risk.

The most damaging frauds I have seen , came from exactly those trusted relationships. Familiarity breeds complacency.

3. From your perspective, where do financial irregularities usually begin: process gaps, people, or pressure?

In my experience, it's almost never just one. Absence of a robust internal control framework creates the opportunity for opening the glass door. People either exploit it deliberately or stumble through it by mistake, often starting with a small rationalisation: "Just this once." But the real accelerant is pressure. Targets to hit, relationships to protect, jobs on the line. I have seen otherwise good people make bad decisions because the environment made it feel necessary. The most dangerous frauds I have encountered were often not driven by habitual offenders. They were driven by ordinary people, under extraordinary pressure, inside systems that asked too few questions.

4. What kind of mindset allows someone to see what others miss in an audit while looking for fraud red flags?

You have to be willing to question what everyone else has already accepted.

Most people in an organisation stop noticing the cracks, because they become part of the wallpaper. A good auditor walks in fresh and asks, "Why does this work this way?" Fraud rarely announces itself loudly. It lives in the edges, a small journal entry that repeats quietly, a vendor that looks right but does not feel right. The skill is connecting those small anomalies. Horizontal and vertical pattern analysis might narrate a story. Train yourself to build that story before dismissing any single piece.

5. Have you ever faced a situation where financial integrity conflicted with business pressure? How do leaders navigate that?

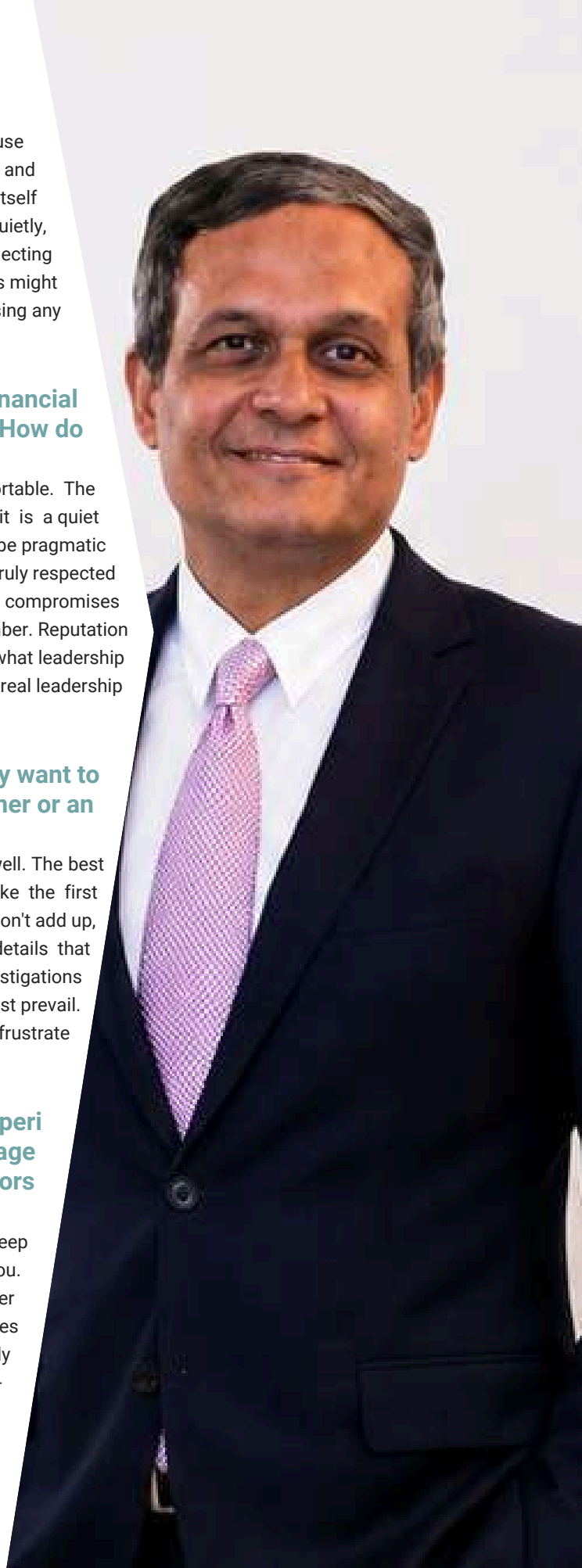
Yes, more than once. And I will be honest ; it is never comfortable. The pressure does not always come aggressively. Sometimes it is a quiet suggestion, a raised eyebrow, someone senior saying "Let's be pragmatic here" That is where your backbone matters. The leaders I have truly respected are the ones who think long-term. They know that short - term compromises rarely lead to long-term professional rewards. Regulators remember. Reputation take years to build & minutes to damage. Culture is shaped by what leadership tolerates, not what it says in a policy document. That is what real leadership looks like under pressure.

6. What mindset should someone develop if they want to become a top investigator or fraud examiner or an auditor?

Be genuinely curious, not just professionally, but personally as well. The best investigators I have worked with ask questions. They do not take the first answer they are given. They sit with discomfort when things don't add up, rather than explaining it away. They notice the small things, details that feel slightly off even if they cannot immediately say why. Investigations rarely resolve cleanly or quickly; patience & perseverance must prevail. If you are someone who needs neat answers fast, this work will frustrate you.Embrace ambiguity that is often where the truth hides.

7. Having decades of audit and compliance experi -ence across the industries, any special message you would like to pass onto the young auditors to grow in their professional career?

Your qualification is the starting point, not the finishing line. Keep learning, not just the technical standards, but the world around you. Understand how businesses really work, how people behave under stress. Think beyond the textbook, fraud does not follow templates real situations are far messier than case studies.Most importantly build your judgment. Protect your reputation. It is your most valu-able asset. Always do the right thing every time, even if no one is watching.



VOICES FROM THE CLASSROOM



Vivek Joshi, CFE

Partner at Baweja and Kaul Chartered Accountants

Earning the CFE certification through learning from the Academy of Internal Audit and the **CFE curriculum, being a working professional, sharpened my professional scepticism.** It shifted my mindset from merely verifying transactions to proactively hunting for red flags. Now, in daily operations, I think like a fraudster, anticipating vulnerabilities. This proactive lens transforms problem-solving from reactive detection to preventive controls, adding immense value to my work in my role as a partner at a renowned Chartered Accountancy Firm.



Shaik Naseeruddin, CFE

Chief Manager, Union Bank of India

I chose the **CFE certification to strengthen my expertise in fraud examination and prevention,** driven by my passion for forensic accounting and ethical governance. Through Puneet Sir's exceptional coaching at the Academy of Internal Audit, I gained in-depth knowledge of fraud schemes, investigative techniques, legal frameworks, and risk assessment. This certification has equipped me with practical skills to tackle financial irregularities confidently. I expect it to unlock specialised career opportunities in compliance, auditing, and anti-fraud roles.

Iwin Job, CFE

Lead EWS Analyst, IndusInd Bank



DVP – Credit Risk & Portfolio Management | Early Warning Signals | Fraud Risk | **15 years across IndusInd Bank, HDFC Bank, RBL Bank, Kotak Mahindra Bank** & L&T Finance

Earning this certification has strengthened my Early Warning Signals (EWS) approach by shifting from static financial analysis to a more dynamic, trend- and pattern-based assessment. I now evaluate borrower behaviour through indicators such as round-tripping, fund diversion, and inconsistencies across financials and stock statements to identify early red flags, enabling proactive risk mitigation and prevention of asset quality deterioration.



Himanshu Arora

Supervisor - Accounts, Expeditors International (India) Pvt. Ltd.

The primary **reason I pursued the CIA certification is its global applicability. Combined with my CA qualification,** it expands my career opportunities beyond India, as the knowledge is relevant to organisations worldwide. I expected to learn structured learning and develop the right auditor mindset, and the course delivered far beyond expectations. Puneet Sir's detailed teaching enabled me to effectively link practical experience with theory, making the learning truly impactful. It reinforced my commitment to adding meaningful value as an internal audit professional. I am confident that this certification will open new doors and support my growth in the years ahead.

Meet the Faces of Recent AIA Success

(From Learning to Leading)



Zain shah, CFE

Senior Credit Analyst

Dubai



Milin Zhang, CFE

Due Diligence Analyst

United States



Ameya Vichare, CIA P-1

Money Muling Investigations Analyst

Hyderabad



Rahul Chobey, CFE

Deputy Manager

Hyderabad

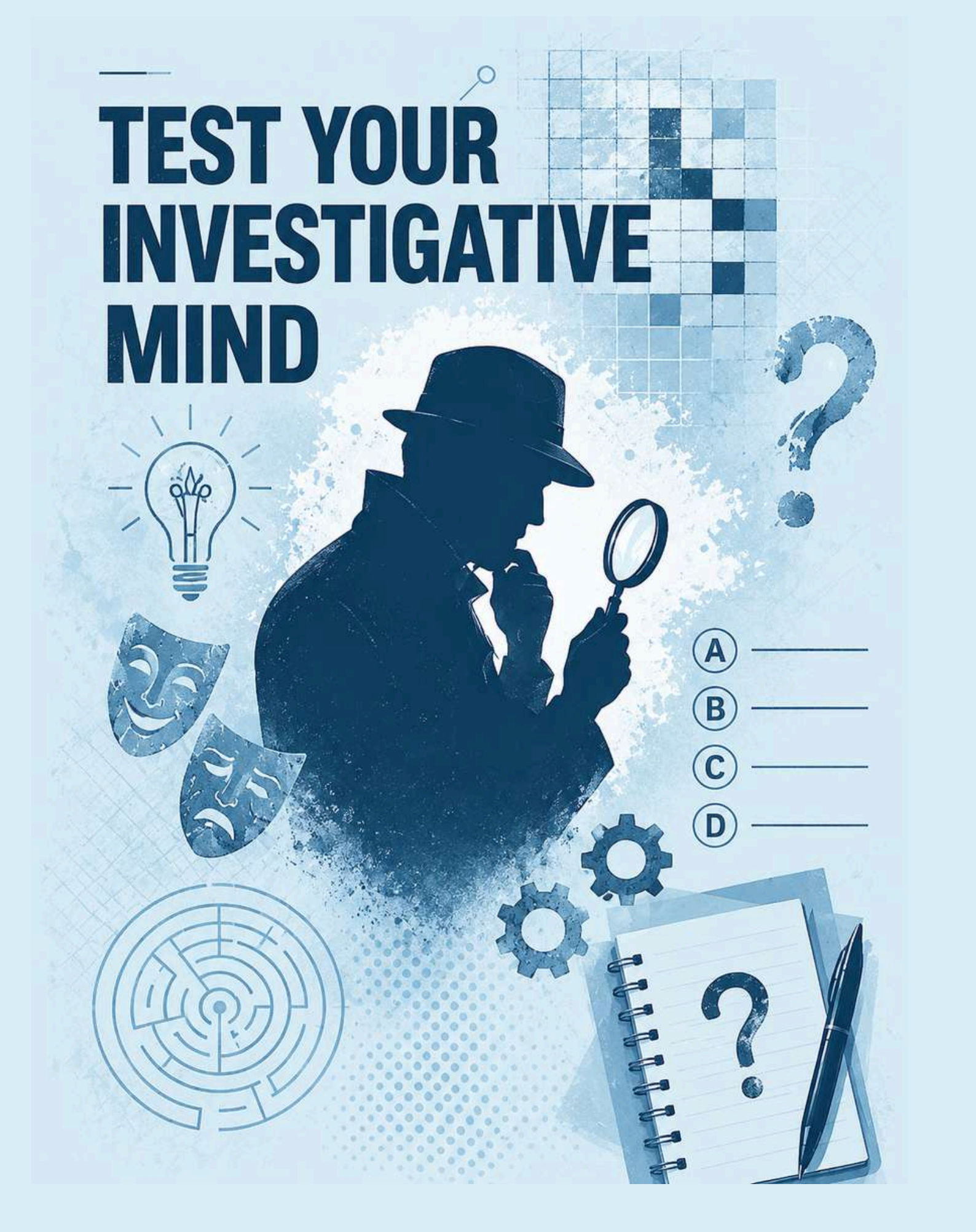


Madhura Desai, CAMS

Authorised Officer

Pune

TEST YOUR INVESTIGATIVE MIND



THINK LIKE AN INVESTIGATOR:

CRACK THE CODE

Our surveillance team intercepted this encrypted note passed between two suspects in the Meridian case. Can you decode it before they destroy the evidence?

Here's how to decode the hidden message: Simple. A=1, B=2, C=3... all the way to Z=26. Use alphabetical order. Decode the message below — if you can.

Decode the Investigator's Secret Message:

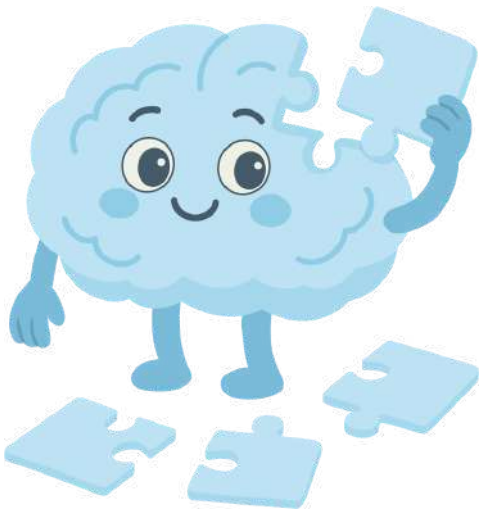
3-15-14-6-9-4-5-14-20-9-1-12 6-9-12-5-19 1-18-5 8-9-4-4-5-14 9-14 4-9-18-5-3-20-15-18-19 3-1-2-9-14-5-20 12-5-6-20 4-18-1-23-5-18

Write your answer here: _____

Follow the Trail - Find the Hidden Words

Hidden inside this grid are 15 words. Find them horizontally, vertically, diagonally, and yes, some are backwards too. Just like a real money trail.

L	I	A	R	T	Y	E	N	O	M	O	A	T	T
R	N	N	C	E	G	N	S	B	S	W	I	T	A
T	S	P	H	I	S	H	I	N	G	H	E	W	Y
I	I	F	F	R	A	U	D	S	F	I	B	H	S
S	D	E	I	I	L	U	L	N	O	S	E	I	N
R	E	C	C	E	A	E	T	A	R	T	N	T	O
L	R	N	R	N	A	H	F	U	E	L	E	E	I
R	T	A	E	O	E	O	C	D	N	E	F	C	T
L	H	I	D	A	E	D	N	I	S	B	I	O	C
E	R	L	F	L	I	A	I	T	I	L	C	L	N
D	E	P	L	Y	V	I	N	V	C	O	I	L	A
G	A	M	A	S	C	S	N	F	E	W	A	A	S
E	T	O	G	I	Y	R	E	I	I	E	R	R	A
R	S	C	S	R	K	I	A	N	Y	R	Y	A	B



MONEYTRAIL	EVIDENCE	KYC
WHISTLEBLOWER	SANCTIONS	LEDGER
INSIDERTHREAT	FRAUD	WHITECOLLAR
PHISHING	BENEFICIARY	AUDIT
COMPLIANCE	FORENSIC	REDFLAGS

READ THE CASE. THE CASE FILE IS OPEN

Read the complete case file & solve the mystery on the next page like an investigator:

Marcus D'Souza was the kind of CEO who believed in perks. Not unreasonable ones — just small, civilized luxuries that reflected his status as the head of Brightline Solutions, a mid-sized logistics firm with forty employees and a very healthy expense account.

The plant was his idea.

A large, imported Italian cactus for his corner office. Tasteful. Architectural. Professionally necessary, he felt. Cost: ₹18,500. Billed under "Office Infrastructure and Environment Enhancement." Nobody questioned it until Priya joined as the new internal auditor.

Priya had a habit that made her colleagues slightly nervous. She read expense reports the way most people read thriller novels — slowly, suspiciously, and with great personal satisfaction when something didn't add up. On her third day, she found the cactus.

Then she found the monthly "ergonomic consultation fee" of ₹12,000 paid to a wellness firm registered at Marcus's wife's home address. Then the quarterly "leadership retreat" held exclusively at a five-star resort in Goa — attended, according to records, by one person. Then the ₹34,000 "team building dinner" at a restaurant that, upon investigation, had a seating capacity of exactly eight, for a supposed team of twenty-two.Four expenses. Four months. ₹1,26,500 in total. Priya documented everything in a neat, colour - coded spreadsheet she titled simply: "Interesting." The board meeting that followed was not interesting for Marcus. His expense account was frozen, the wellness firm contract was terminated, and the cactus was relocated to the reception area - where, employees agreed, it looked significantly better anyway.

Marcus resigned two weeks later to "pursue other opportunities." The cactus remains. It has never once questioned an expense report. But in Priya's opinion, it has excellent judgment.



Answer: "Confidential files are hidden in directors cabinet, left drawer."

Can you solve this

Q1. Under which expense category did Marcus bill the imported Italian cactus?

A) Luxury Furniture and Décor
B) Office Infrastructure and Environment Enhancement
C) CEO Personal Allowance
D) Plant and Machinery Assets

Q2. What triggered Priya's investigation into the company expenses?

A) A whistleblower complaint from an employee
B) A routine audit assigned by the board
C) Her habit of reading expense reports with deep suspicion
D) Marcus himself submitted incorrect documents

Q3. What was suspicious about the "ergonomic consultation fee" of ₹12,000 per month?

A) The amount was too high for a logistics firm
B) It was paid to a firm registered at Marcus's wife's home address
C) The payment had no supporting invoices attached
D) It was approved without dual authorization

Q4. Which of the following best describes the red flag in the "team building dinner" expense?

A) The restaurant was outside the city limits
B) The dinner was held on a public holiday
C) The restaurant could seat only 8 people for a supposed team of 22
D) The expense was filed three months late

Q5. What did Priya name her findings spreadsheet?

A) "Fraud Investigation Report - Phase 1"
B) "Expense Anomalies and Risk Assessment"
C) "Interesting"
D) "Operation Marcus"

Audit Laughs



1. ***The Honest Accountant***

A CFO walks into a bar and orders a drink.

The bartender asks: "Would you like to pay now or later?"

CFO replies: "Let's accrue it for now - I'll recognise the expense at year's end."

The bartender has been waiting for payment since Q2.

2. ***The Job Interview***

Interviewer: "Where do you see yourself in five years?"

Audit candidate: "Ideally, not in your company's fraud investigation report."

Interviewer: "You're hired."

3. ***The Fraud Examiner's Dating Profile***

Name: CFE Professional

Interests: Long walks following paper trails, romantic dinners where I check the receipt twice & relationships with full transparency & zero undisclosed liabilities.

4. ***Performance Review***

Boss: "Your work this year has been outstanding. No findings, no issues, clean books."
Auditor: "Thank you."
Boss: "We're letting you go."
Auditor: "Why?!"
Boss: "If everything is clean, what exactly do we need you for?"
Auditor: "Sir, everything is clean BECAUSE of me."
Boss: "...We'll revisit your contract."

Answers: B, C, B, C, C

What's Unfolding at the AIA

A quarter of meaningful progress - marked by global partnerships and a publication built for empowering the professionals who lead.

AIA Becomes Becker's INDIA's One and Only Authorised Distributor - a partnership that marks a significant step in how CIA preparation is delivered to professionals across the country. For AIA, it is a statement about the standard of preparation we are committed to delivering. Becker's study material is officially recognised by the IIA Global as the benchmark resource for CIA aspirants - built to ensure deep conceptual understanding that translates directly into professional practice. Through this partnership, we make sure that every CIA aspirant has direct access to the most credible, globally recognised preparation resource available, without compromise.

AIA has been officially recognised as an ISACA Accredited Training Partner - a designation that reflects alignment with the global standards ISACA has established for information systems audit, governance, and risk management. For AIA, this partnership is a natural extension of its core mission: to prepare professionals not just for certifications, but for the demands of an industry that is growing more complex, more regulated, and more consequential every year.

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